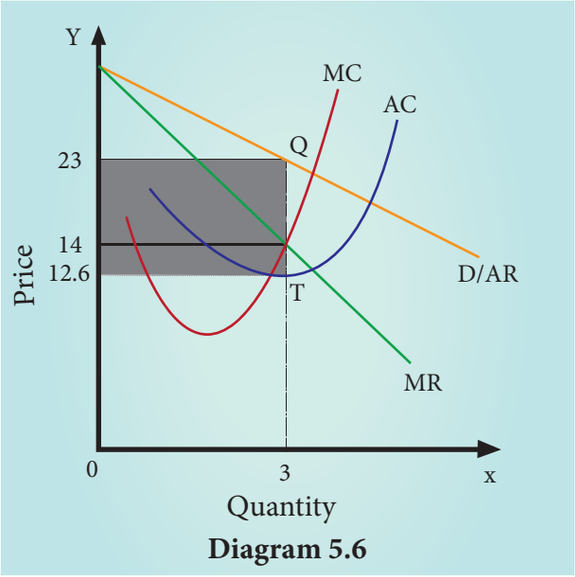


Diagram 5.6

as more units of output are sold, the MR lies below the AR curve (MR<AR).

The monopolist will continue to sell his product as long as his MR>MC.

He attains equilibrium at the level of output when its MC is equal to MR. Beyond this point, the producer will experience loss and hence will stop selling.

From this diagram, till he sells 3 units output, MR is equal to MC. The monopoly firm will be in equilibrium at the level of output where MR is equal to MC. The price is 23.

To checkup how much profit the monopolist is making at the equilibrium output, the average revenue curves and the average cost curves are used. At equilibrium level of output, (3) is the average revenue is 23 and the average cost is 12.67, therefore (23-12.67 = 10.33) is the profit per unit.

Total profit = (Average Revenue – Average Cost) X Total output

$= (23 - 12.67) \times 3$

$= 10.33 \times 3 = 30.99$

5.7.4 Price Discrimination under monopoly

A discriminating monopoly is a single entity that charges different prices for different consumers. Higher price will be charged for price inelastic consumers and vice versa

Types of Price Discrimination

There are three types of price discrimination.

(i) ***Personal*** – Different prices are charged for different individuals (for example, the railways give tickets at concessional rate to the *'senior citizens'* for the same journey).

(ii) ***Geographical*** - Different prices are charged at different places for the same product (for example, a book sold within India at a price is sold in a foreign country at lower price). On their basis, China drops its goods in Indian market. As a result, watch and toys industries closed down their business.

(iii) **On the basis of Use** - Different prices are charged according to the use of a product (for example, lower rates are charged by Tamil Nadu Electricity Board for domestic uses of electricity and higher rates are charged for commercial and industrial uses).

5.7.5 Degrees of Price Discrimination

Price discrimination has become widespread in almost all monopoly markets. According to A.C.Pigou, there are three degrees of price discrimination.

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